

Why Organisation Design Begins with Taking an Executive Fix Before Setting the Course

Most executives think about organisation design when growth begins to strain the business. Reporting lines become blurred, decisions slow down, accountability weakens and functions begin competing for resources. The natural response is to redraw the organisation chart, redefine reporting relationships and create new positions that promise greater clarity. It is a logical response because organisational structures are the most visible representation of how an organisation works.

Yet, after leading organisation design assignments across government institutions, financial services, higher education and multinational organisations, I have learned that organisation charts rarely solve the problems they are designed to address.

They reveal them.

An organisation chart is not the architecture of an organisation. It is simply its visible outline. The real architecture exists beneath the boxes and reporting lines—in the assumptions executives hold about strategy, authority, accountability and value creation. Unless those assumptions are aligned, even the most elegant organisational design gradually becomes little more than an attractive diagram on a presentation slide.

This lesson became particularly clear during an organisation structure review for ASMA Capital Partners in Bahrain. The engagement appeared, at first glance, to be a conventional organisational design project. The objective was to review the existing structure, recommend an organisation capable of supporting future growth, develop aligned job descriptions and introduce a coherent

grading framework. Like many design engagements, the work followed a structured methodology that began by understanding the existing organisation, applying recognised design principles, recommending a future structure and defining the roles required to support execution.

As the engagement progressed, however, it became increasingly apparent that the challenge was not organisational design.

It was organisational navigation.

The firm's existing structure was appropriate for its current size, yet its ambition extended far beyond its present configuration. As a regulated investment firm operating within the Central Bank of Bahrain's governance framework, ASMA Capital had to balance commercial agility with regulatory discipline, investment performance with governance oversight and entrepreneurial decision-making with institutional accountability. The organisation needed a design that would support future growth while remaining aligned with regulatory requirements, strategic priorities and the complexity of managing multiple investment funds.

This is where many organisation design projects take a wrong turn.

Executives often assume that organisational performance improves when reporting relationships become clearer. Certainly, clarity matters. Effective organisation design requires appropriate spans of control, well-defined responsibilities, robust governance mechanisms and efficient coordination across functions. The ASMA review reflected precisely these principles, examining strategic alignment, accountability, organisational culture and the processes linking different parts of the business before proposing a revised structure.

Yet these principles describe **how** an organisation should be designed.

They do not explain **why** executives agree—or disagree—about what the design should become.

Over many years I have found that organisation design is frequently treated as a structural exercise when, in reality, it is fundamentally an exercise in executive judgement. Before leaders decide where functions should report, they have already reached conclusions about what the organisation exists to achieve. Before they determine spans of control, they have formed opinions about where authority ought to reside. Before they allocate resources, they have already decided what activities deserve investment and which do not.

Structure follows judgement.

It never precedes it.

This insight transformed the way I approached organisation design.

Early in my consulting career, I believed that effective structures emerged from rigorous analysis of processes, workloads, governance requirements and reporting relationships. Those elements remain indispensable. However, experience repeatedly demonstrated that technically sound structures often produced very different organisational outcomes. Similar designs succeeded in one

organisation while failing in another. Comparable governance arrangements strengthened accountability in one institution yet created bureaucracy in another. The difference rarely lay in the quality of the design itself. It lay in the way executives interpreted the organisation they believed they were designing.

The ASMA methodology recognised an important aspect of this challenge by beginning with organisational context before recommending structural change. It acknowledged that organisation design must be influenced by the firm's strategy, regulatory environment and operational complexity before structures are developed. Only then can people, processes and reporting relationships be aligned to support execution.

I have increasingly come to believe that one further step is required.

Before designing the organisation, executives must first establish their own position.

This conviction eventually gave rise to what I now describe as the **Executive Sextant**.

For centuries, navigators understood that no captain would set a course across open ocean before first establishing an accurate position. Regardless of the quality of the charts or the destination, a voyage begun without a reliable fix inevitably drifted off course. The sextant did not determine where the ship should go. It determined where the ship actually was. Only once that position had been established could meaningful navigation begin.

Organisation design requires exactly the same discipline.

Too often executive teams begin redesigning structures before understanding the assumptions through which they are interpreting the organisation. They debate reporting relationships before agreeing on strategic purpose. They introduce governance mechanisms before establishing what authority should legitimately accomplish. They create functions before reaching a shared understanding of the capabilities the future organisation will require. In effect, they begin plotting the voyage before determining their current position.

The Executive Sextant offers a different starting point.

Rather than asking, What should the organisation look like?, it first asks three deceptively simple questions.

Is this direction legitimate?

What obligations must the organisation honour?

Do we possess the agency to realise the future we are imagining?

These questions form the foundation of the Worldview LOA Framework. They recognise that executives do not simply analyse organisations; they interpret them. Every organisation design decision reflects evaluations about legitimacy, obligation and agency long before those evaluations become visible in reporting lines or governance frameworks.

Consider, for example, the introduction of independent governance roles within the ASMA structure. The proposed Company Secretary, Internal Auditor and Risk and Compliance Officer were not merely additional positions introduced to satisfy regulatory expectations. They represented institutional judgements about the importance of independent oversight, risk management and accountability within a regulated investment environment. Likewise, introducing dedicated portfolio management, human resources and marketing capabilities reflected a judgement that the firm's future required greater functional specialisation to support growth and operational coordination.

The organisation chart therefore became a visible expression of invisible executive judgements.

This distinction explains why organisation design is as much about leadership as it is about structure.

The most successful redesigns I have witnessed did not begin with consultants drawing boxes on whiteboards. They began with executive teams developing a shared understanding of the organisation they were trying to build. They explored strategic intent before structural alternatives. They clarified institutional purpose before defining functional responsibilities. They debated value creation before debating reporting relationships.

Only then did organisation design become relatively straightforward.

The temptation for many organisations is to believe that structure creates performance. There is some truth in this. Poor structures undoubtedly inhibit coordination, blur accountability and slow decision-making. However, the reverse is not necessarily true. Good structures do not automatically create high performance. They create the conditions within which high performance becomes possible. Whether those conditions are realised depends upon the quality of executive judgement guiding the organisation long after the organisation chart has been approved.

That is why organisation design should never be viewed as the conclusion of strategic thinking. It is the beginning of a much longer organisational voyage.

The chart marks the departure point.

The voyage itself is shaped by thousands of executive decisions made long after the redesign has been completed. Every investment approved, every delegation granted, every governance decision taken and every strategic priority pursued gradually confirms—or undermines—the assumptions embedded within the original design.

In this sense, organisation design is less about creating structure than about creating a navigational framework through which an organisation can continuously adapt without losing its strategic bearing.

This is where the Executive Sextant becomes indispensable. Just as navigators periodically re-established their position throughout an ocean voyage, executive teams must continually reassess the assumptions guiding organisational evolution. Markets change. Regulation evolves. Technology

reshapes business models. New opportunities emerge while others disappear. Without periodically taking a fresh executive fix, organisations risk continuing confidently along a course that no longer leads to their intended destination.

Great organisation design is therefore not measured by the elegance of the organisation chart.

It is measured by whether the design enables leaders to keep navigating towards the future they collectively believe is legitimate, worth pursuing and within their capacity to achieve.

Ultimately, that may be the most enduring lesson from organisation design. Boxes, reporting lines and governance structures matter because they provide the architecture for coordinated action. But architecture alone never determines a successful voyage.

Before redesigning the organisation, take the fix.

Only then should you set the course.